EQUITY RESEARCH / SEMICONDUCTORS

INTEL

Discounted Cash Flow Valuation

01 Executive Summary

REPORT DATE	PRICE REFERENCE	FORECAST HORIZON
3 November 2026	$92.03 / share	2026–2035

Investment thesis / valuation conclusion

This independent Discounted Cash Flow (DCF) analysis estimates Intel's intrinsic equity value at $31.87 per share in My Base Case and $53.98 in My Optimistic Case, compared with a reference market price of $92.03 as of 19 October 2026.[1] The Conservative Case implies a substantially lower valuation of $12.62 per share. Across all three scenarios, the findings indicate that Intel's market valuation exceeds the intrinsic values supported by the model's assumptions.

The valuation incorporates historical financial performance, external analyst estimates and independently developed forecasts through 2035. Revenue growth, operating profitability, capital expenditure requirements and the cost of capital are the primary valuation drivers. Despite projected improvements in operating performance, Intel's substantial manufacturing investments constrain free cash flow generation.

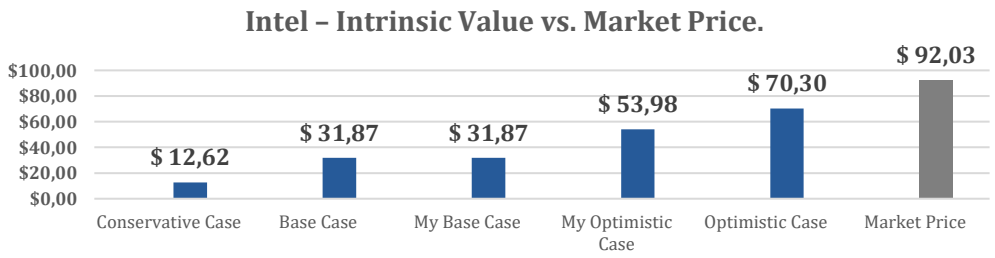
Furthermore, the Reverse DCF indicates that justifying the market price requires sustained revenue growth and an EBIT margin approaching 38.25% by 2035. These demanding requirements reinforce the conclusion that Intel's current valuation depends on significant operational improvements.

Overall, the analysis identifies limited fundamental valuation support at $92.03 per share, while providing a structured framework for evaluating future performance and investment opportunities.

Valuation at a glance

CONSERVATIVE	MY BASE CASE	MY OPTIMISTIC CASE	MARKET
$12.62 / share	$31.87 / share	$53.98 / share	$92.03 / share

Exhibit 01 • Intrinsic value versus market price



Source: Hrach Movsesjan, DCF Valuation Model; Intel market price as of 19 October 2026.

Analyst: Hrach Movsesjan | Independent Equity Research

[1] Yahoo Finance (2026), Intel Corporation (INTC) – Historical Data, reference share price dated 19 October 2026, accessed 28 October 2026.

02 Intel Company Overview

Business model and operating segments

Intel is a global leader in the design and manufacturing of CPUs and other semiconductor products for personal computers, data centers, and other computing applications. Intel Products comprises the Client Computing Group (CCG), which supplies processors for personal computers, and the Data Center and AI (DCAI) segment, which provides computing solutions for data centers and enterprise customers. Intel Foundry manufactures chips for Intel's internal operations while expanding services to external customers. Together, these businesses combine semiconductor design with capital-intensive manufacturing.[2] Intel's long-term outlook depends on growing AI-related computing demand and improving manufacturing efficiency. Advanced technologies, including Intel 18A and 14A, could strengthen competitiveness but require substantial capital investment. Following changes in Intel's segment reporting, and given limited publicly available segment-level forecasts, this DCF uses consolidated revenue and EBIT projections rather than individual segment forecasts to avoid unsupported assumptions.[3]

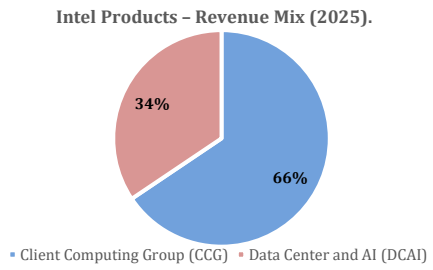
Industry and competitive position

KEY FACTOR	WHY IT MATTERS FOR INTEL
Data-center / AI demand	Growing demand for server CPUs and AI infrastructure could support consolidated revenue growth.
PC / client computing	PC processor business provides a revenue base, Competition and market maturity limits its growth.
Foundry execution	Successful development of 18A and 14A, higher manufacturing yields and external customer adoption could improve profitability.
Competitive pressures	Competition from AMD, NVIDIA and TSMC creates uncertainty regarding Intel's market share, pricing power and margins.

Investment drivers

Intel's long-term growth potential depends on increasing AI-related computing demand, improved manufacturing efficiency, and successful expansion of its foundry business. Advanced technologies, particularly Intel 18A and 14A, could strengthen product competitiveness and create additional revenue opportunities. However, substantial capital requirements and uncertainty surrounding external foundry customers remain significant risks. These factors directly influence the revenue growth, EBIT margins, and CapEx assumptions used in the DCF valuation.[4]

Exhibit 02 • Intel business / segment mix



Source: Hrach Movsesjan, Intel DCF Valuation Model (2026).

[2] Intel Corporation (2026), Annual Report on Form 10-K for the Fiscal Year Ended December 27, 2025, p. 6. Intel Annual Report 2025, accessed 28 October 2026.

[3] Intel Corporation, 2025 Form 10-K, pp. 3-4, 21.

[4] Intel Corporation, 2025 Form 10-K, pp. 3-4, 11-12.

03 DCF Methodology

Free cash flow to the firm (FCFF)

The valuation applies a Discounted Cash Flow (DCF) model based on Free Cash Flow to the Firm (FCFF). FCFF is calculated as operating income after tax, plus depreciation and amortization, less capital expenditures and changes in net working capital. Future cash flows are discounted using the Weighted Average Cost of Capital (WACC) to estimate Intel's intrinsic enterprise value.

FCFF was preferred over earnings-based multiples due to Intel's volatile profitability, substantial capital expenditures, and ongoing operational transformation. Unlike earnings multiples, the DCF explicitly incorporates future reinvestment requirements and projected cash flow recovery, providing a more detailed assessment of Intel's long-term intrinsic value.

Forecast and discounting approach

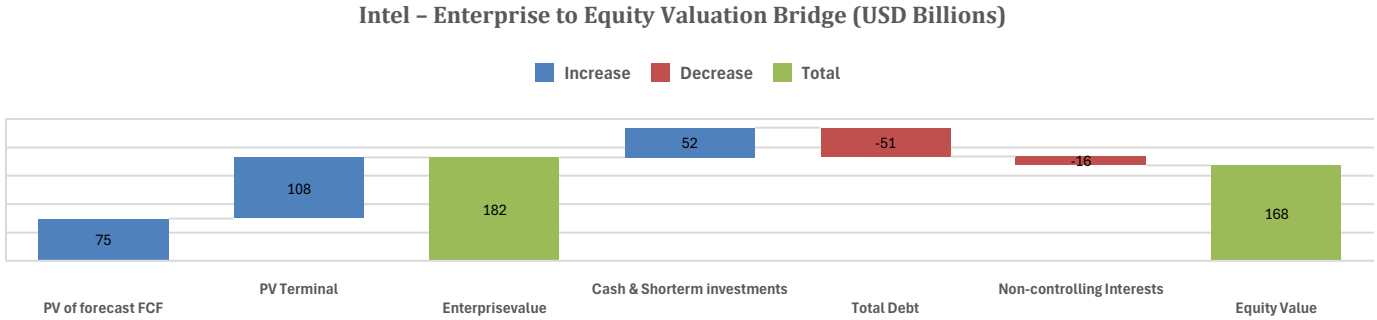
MODEL ELEMENT	APPROACH / SOURCE
Historical baseline	FY2021–2025; Intel Forms 10-K
Explicit forecast	FY2026–2035; scenario-based projections
Scenarios	Conservative, Base, Optimistic and selected mixed cases
Discount convention	19 October 2026; prorated 2026 FCFF and fractional-year discounting
Terminal-value method	Gordon Growth Model; perpetual growth after 2035
Equity bridge	Enterprise value adjusted for debt, cash and other claims; divided by shares outstanding

How the Excel model is organized

The Excel model integrates Intel's historical financial statements with forecasts for 2026–2035. Scenario switches allow revenue growth, EBIT margins, reinvestment requirements, WACC, and terminal growth to be adjusted independently. The reference share price is dated 19 October 2026, while WACC inputs were collected later in October as the valuation model was developed.

Exhibit 03 illustrates the valuation bridge under the My Base Case scenario, which applies the selected Base Case assumptions across all financial categories. Discounted forecast FCFF ($75 billion) and terminal value ($108 billion) produce an enterprise value of approximately $182 billion. After adjusting for cash, debt, and non-controlling interests, the resulting equity value is approximately $168 billion, corresponding to an implied share price of $31.87.

Exhibit 03 • FCFF-to-equity valuation bridge



Source: Hrach Movsesjan, Intel DCF Valuation Model (2026), My Base Case scenario; author's calculations. Figures in USD billions.

04 Financial Forecasts & Assumptions

Historical baseline for the forecast

USD MILLIONS	2022A	2023A	2024A	2025A
Revenue	63 054	54228	53 101	52 853
EBIT	2 334	93	-11 678	-2 214
EBIT margin	3.70%	0.17%	-21.99%	-4.19%

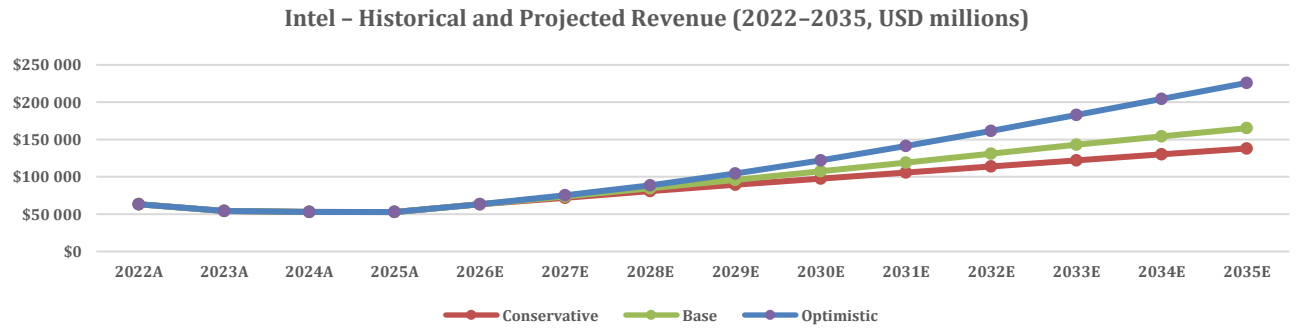
Revenue methodology

Intel's FY2026 revenue forecast is based on FactSet consensus estimates published through Finanzen.net, projecting revenue of $63.31 billion, representing 19.8% annual growth. The FY2027 Base Case similarly follows consensus expectations of 16.3% growth, while Conservative and Optimistic scenarios apply independent adjustments of ±15%. Revenue projections for FY2028–FY2035 are independently developed, considering historical performance, AI-related demand, manufacturing developments and competitive pressures. Annual growth rates are interpolated between scenario-specific targets for 2030 and 2035. All forecasts are modeled on a consolidated basis. [5]

Revenue growth by scenario

FORECAST ANCHOR	CONSERVATIVE	BASE	OPTIMISTIC
2027 revenue growth	13.84%	16.29%	18.73%
2030 revenue growth	9.00%	12.00%	17.00%
2035 revenue growth	6.00%	7.00%	10.50%

Exhibit 04 • Historical and projected revenue



Source: Hrach Movsesjan, Intel DCF Valuation Model (2026).

[5] Finanzen.net (2026), Intel Corporation – *Analyst Estimates (FactSet Consensus),* Intel Analyst Estimates – FactSet, accessed 19 October 2026.

04 Financial Forecasts & Assumptions

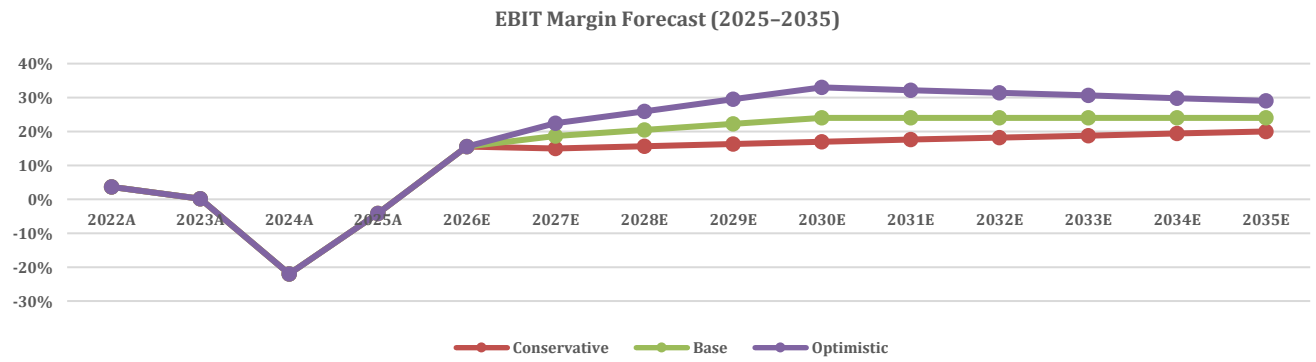
EBIT margin development

Intel's EBIT forecasts reflect a gradual recovery in operating profitability, primarily driven by improved manufacturing utilization and reduced Intel Foundry losses. In 2025, Intel Foundry reported an operating loss of $10.3 billion, highlighting the challenges associated with its capital-intensive manufacturing operations. [6]

The Base Case assumes a recovery to a 24% EBIT margin by 2030, maintained through 2035. The Conservative Case reflects slower operational improvements, while the Optimistic Case projects stronger profitability. However, increasing depreciation expenses and substantial manufacturing investments could constrain margin expansion, making successful execution essential to achieving these forecasts. [7]

EBIT ASSUMPTION	CONSERVATIVE	BASE	OPTIMISTIC
2027 EBIT margin	14.96%	18.7%	22.44%
2030 EBIT margin	17%	24%	33%
2035 EBIT margin	20%	24%	29%

Exhibit 05 • EBIT margin scenarios



Source: Hrach Movsesjan, Intel DCF Valuation Model (2026).

Cash taxes and NOPAT

A normalized tax rate of 21%, corresponding to the U.S. federal corporate income tax rate, is applied consistently across all valuation scenarios. This approach isolates the effects of revenue growth, operating profitability, and reinvestment assumptions without introducing additional tax-related variability. Net Operating Profit After Tax (NOPAT) is calculated as EBIT × (1 − Tax Rate). Although Intel's actual tax burden may fluctuate due to tax credits, loss carryforwards, and international operations, the normalized rate provides a consistent basis for forecasting after-tax operating profitability.

Source: Hrach Movsesjan, Intel DCF Valuation Model (2026).

[6] Intel Corporation, *2025 Form 10-K*, p. 23.
[7] Intel Corporation, *2025 Form 10-K*, p. 26.

04 Financial Forecasts & Assumptions

CapEx, depreciation and working capital

Intel's long-term capital expenditure (CapEx) assumptions reflect its substantial manufacturing investment requirements and expected improvements in operational efficiency. By 2035, CapEx is projected to decline to 17% of revenue in the Base Case, compared with 22% in the Conservative Case and 16% in the Optimistic Case. Depreciation and amortization (D&A) are forecast alongside CapEx, reflecting Intel's existing and future manufacturing assets and improvements in asset utilization.

Changes in net working capital (ΔNWC) are estimated as a percentage of revenue, reflecting differences in operating cash requirements across scenarios. The Base Case assumes 1% of revenue, compared with 1.5% in the Conservative Case and 0.5% in the Optimistic Case. These assumptions depend on Intel's ability to improve manufacturing efficiency, manage working capital and sustain revenue growth while gradually reducing capital intensity.

Source: Hrach Movsesjan, Intel DCF Valuation Model (2026).

2035 ASSUMPTION	CONSERVATIVE	BASE	OPTIMISTIC
CapEx / Revenue	22.0%	17.0%	16.0%
D&A / Revenue	18.0%	16.0%	15.0%
ΔNWC / Revenue	1.5%	1.0%	0.5%

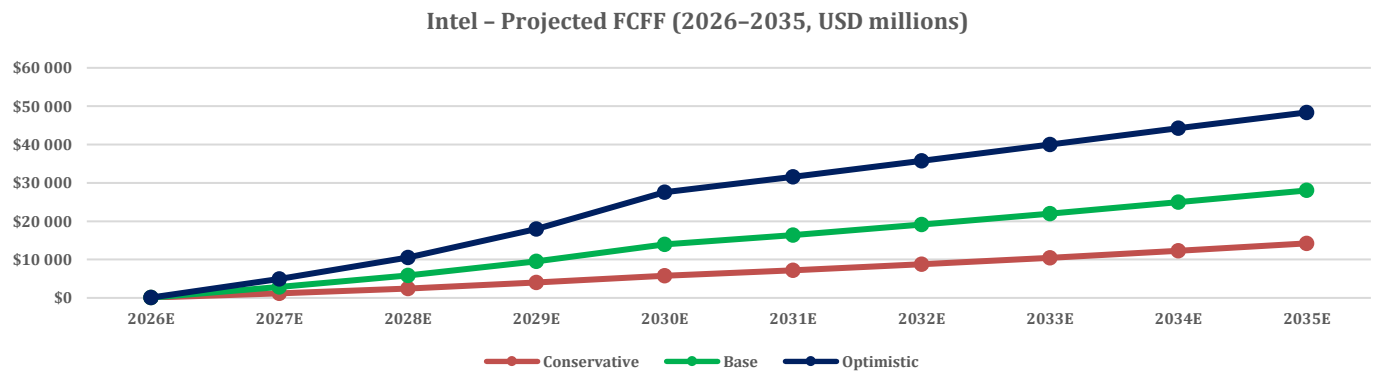
Forecast FCF and economic consistency

Intel's projected Free Cash Flow to the Firm (FCFF) improves primarily through revenue expansion, increasing EBIT margins, and improved manufacturing efficiency. As Intel's operating profitability recovers, higher after-tax operating income is expected to support stronger cash flow generation. However, the company's capital-intensive business model requires substantial ongoing reinvestment, limiting the proportion of operating earnings converted into free cash flow.

The forecasts assume that CapEx gradually declines as a percentage of revenue as manufacturing facilities mature and capacity utilization improves. Nevertheless, absolute capital expenditures may continue increasing alongside revenue growth. CapEx generally remains above depreciation and amortization (D&A), reflecting continued net investment in manufacturing assets. The sustainability of projected FCFF therefore depends on Intel achieving higher profitability while maintaining sufficient reinvestment to support long-term growth.

Source: Hrach Movsesjan, Intel DCF Valuation Model (2026).

Exhibit 06 • Projected FCFF (2026–2035)



Source: Hrach Movsesjan, Intel DCF Valuation Model (2026).

05 WACC & Terminal Value

Cost of capital calculation

COMPONENT	INPUT	RATIONALIZATION / SOURCE
Risk-free rate	4.98%	U.S. Treasury, 10-year yield[8]
Bottom-up beta	2.13	Peer-company beta analysis[9]
Market risk premium	3.70%	Damodaran[10]
Cost of equity	12.87%	CAPM calculation
Debt / equity weighting	10.06% / 89.94%	Intel Form 10-Q[11]; Yahoo Finance[12]
WACC	11.95%	Calculated WACC; selected debt yields

Terminal-value construction

Intel's terminal value is estimated using the Gordon Growth Model, assuming constant FCFF growth beyond 2035. The Base Case applies a 2.5% perpetual growth rate, reflecting a transition toward sustainable long-term growth. Terminal value is calculated using 2035 FCFF, perpetual growth and WACC, before discounting to 19 October 2026. As terminal value represents a substantial share of enterprise value, the valuation is particularly sensitive to WACC and long-term growth assumptions.

TERMINAL METRIC	Conservative	Base	Optimistic
Terminal growth rate	2.0%	2.5%	3.0%
2035 FCFF (USD millions)	$14 219	$28 021	$48 376
Terminal value (USD millions)	$138 791	$303 935	$626 767
PV of terminal value / EV	47 156/ 80 487 (58.6%)	107 588/182 246 (59%)	240 957/ 385 352(62.5%)

Sensitivity

Exhibit 07 demonstrates the sensitivity of Intel's Base Case valuation to changes in WACC and perpetual growth. The implied share price ranges from $23.23 to $48.54 across the tested assumptions, compared with the central Base Case valuation of $31.87. This illustrates how discount-rate and terminal-growth assumptions can materially influence the valuation even when operating forecasts remain unchanged.

Exhibit 07 – WACC × Terminal-Growth Sensitivity

WACC/TGR	1,50%	2,00%	2,50%	3,00%	3,50%
9,95%	$39,60	$41,41	$43,47	$45,82	$48,54
10,95%	$34,12	$35,46	$36,95	$38,64	$40,54
11,95%	$29,75	$30,76	$31,87	$33,12	$34,50
12,95%	$26,18	$26,96	$27,81	$28,75	$29,79
13,95%	$23,23	$23,84	$24,50	$25,23	$26,02

Note: Base Case operating forecasts are held constant; only WACC and terminal growth vary.

Source: Hrach Movsesjan, Intel DCF Valuation Model (2026).

[8] U.S. Treasury, Daily Treasury Par Yield Curve Rates (October 2026).
[9] Yahoo Finance, Comparable Company Betas (5Y Monthly) (2026).
[10] Damodaran, Stock Prices, Earnings and Cashflows (8 October 2026).
[11] Intel Corporation, Q2 2026 Form 10-Q, p. 5.
[12] Yahoo Finance, Intel Corporation (INTC) (2026).

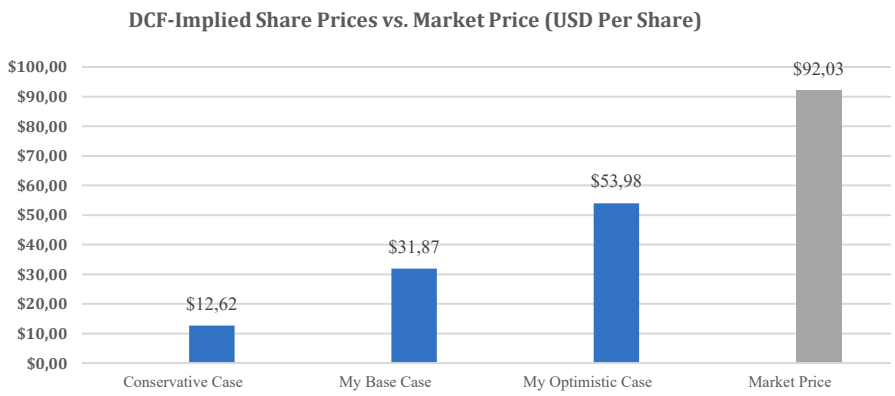
06 Valuation Results & Scenario Analysis

DCF valuation output

SCENARIO	ENTERPRISE VALUE (USD Millions)	EQUITY VALUE (USD Millions)	USD / SHARE
Conservative	$80 487	$66 696	$12.62
My Base Case	$182 246	$168 455	$31.87
My Optimistic Case	$ 299 051	$ 285 260	$53.98
Market share price	—	—	$92.03

Source: Hrach Movsesjan, Intel DCF Valuation Model (2026); Intel market share price as of 19 October 2026.

Exhibit 08 • Implied values versus market



Source: Hrach Movsesjan, Intel DCF Valuation Model (2026)

What explains the valuation gap?

The gap between Intel's market price of $92.03 and the Base Case valuation of $31.87 primarily reflects differences in expected future cash flows. Despite improving profitability, substantial capital expenditure limits projected FCFF. A relatively high WACC further reduces the present value of future cash flows, particularly terminal value, which represents approximately 59% of Base Case enterprise value.

The Conservative Case yields just $12.62 per share, reflecting slower revenue growth, weaker profitability and continued reinvestment requirements. By 2035, EBIT margins reach only 20%, while CapEx remains elevated at 22% of revenue, significantly restricting FCFF generation. Combined with a lower terminal growth rate of 2%, these assumptions produce a substantially lower valuation without artificially adjusting inputs to match the market price.

Source: Hrach Movsesjan, Intel DCF Valuation Model (2026)

Assumption selection logic

My Base Case uses central assumptions for growth, profitability, reinvestment and discount rates. My Optimistic Case combines stronger revenue growth, EBIT margins and working capital efficiency with selected Base Case assumptions for CapEx, taxation, WACC and terminal growth. This avoids overly aggressive assumptions while providing a realistic upside scenario valued at $53.98 per share. Exhibits 04–06 present the standard Conservative, Base and Optimistic scenarios, whereas My Optimistic Case combines selected assumptions from the Base and Optimistic scenarios.

Source: Hrach Movsesjan, Intel DCF Valuation Model (2026)

07 Reverse DCF & ROIC Analysis

Reverse DCF: requirements to justify market price

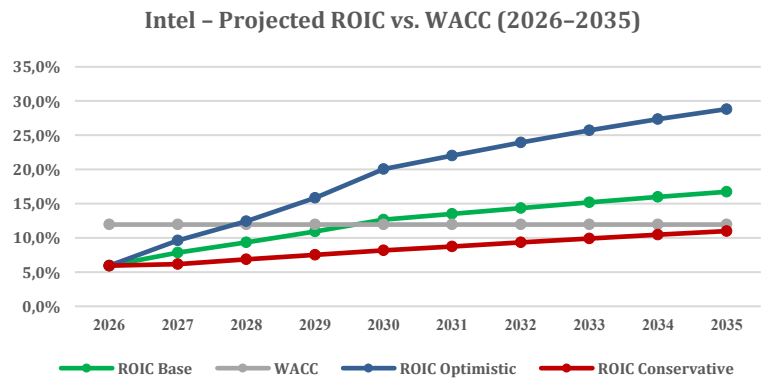
MODEL-IMPLIED INPUT	REQUIRED VALUE
Market price target	$92.03
2030 / 2035 revenue growth	21.0% / 15.7%
2030 / 2035 EBIT margin	35.0% / 38.25%
2035 CapEx / Revenue	17.5%
WACC and terminal growth	11.9% / 2.5%

The Reverse DCF identifies the operating assumptions required to justify Intel's reference market price of $92.03 as of 19 October 2026. The resulting scenario requires sustained revenue growth, substantial margin expansion and continued manufacturing investment. These assumptions represent one possible combination consistent with the selected market price, rather than a unique forecast of market expectations.

Model Source: Hrach Movsesjan, Intel DCF Valuation Model (2026)

ROIC versus WACC

Exhibit 09 • Intel projected ROIC versus WACC



Source: Hrach Movsesjan, Intel DCF Valuation Model (2026)

Note: WACC line represents Base Case (11.95%); Conservative and Optimistic valuations use 12.45% and 10.95%, respectively.

Economic interpretation

The ROIC–WACC spread highlights differences in economic value creation across Intel's valuation scenarios. The Conservative Case generally produces ROIC below WACC, indicating insufficient returns on invested capital. In contrast, the Base and Optimistic Cases project improving ROIC as operating profitability recovers, with the Optimistic Case offering the strongest potential for economic value creation.

The Reverse DCF implies a 2035 ROIC of approximately 47%, representing an exceptionally demanding profitability requirement to justify the market price of $92.03. Achieving such returns would require substantial operational improvements and efficient capital utilization. However, the analysis relies on simplified invested capital forecasts, introducing uncertainty into the projected ROIC figures.

Source: Hrach Movsesjan, Intel DCF Valuation Model (2026)

08 Limitations & Conclusion

Conclusion

Intel's estimated intrinsic value of $31.87 per share in My Base Case and $53.98 in My Optimistic Case remains substantially below the reference market price of $92.03.[13] The valuation gap suggests that market expectations exceed the model's projected profitability and free cash flow generation. The Reverse DCF further indicates that significantly stronger operating performance would be required to justify the market valuation.

The investment thesis could be challenged by faster manufacturing improvements, stronger revenue growth, higher operating margins or reduced capital intensity. Conversely, delays in Intel's operational recovery could further weaken intrinsic value. Given the substantial contribution of terminal value and uncertainty surrounding long-term forecasts, these results should be interpreted as scenario-dependent estimates rather than definitive predictions.

Source: Hrach Movsesjan, Intel DCF Valuation Model (2026)

Material modeling limitations

LIMITATION	HOW IT COULD AFFECT VALUE
Pro forma cash after equity offering	Cash includes equity offering proceeds without fully accounting for subsequent cash movements, potentially overstating equity value.[14]
Foundry execution / long-run CapEx	Manufacturing delays, lower efficiency or sustained high CapEx could reduce future FCFF and intrinsic value.[15]
Terminal growth / WACC sensitivity	Terminal value represents approximately 59% of Base Case EV, making valuation highly sensitive to discount rates and perpetual growth assumptions
Forecast comparability / external consensus	Near-term FactSet estimates and independently developed long-term forecasts may reflect different assumptions, reducing forecast comparability.[16]
Share dilution and noncontrolling interests	Future share issuance could reduce per-share value, while uncertainty in noncontrolling interests could affect the enterprise-to-equity valuation bridge

Source: Hrach Movsesjan, Intel DCF Valuation Model (2026)

This valuation provides an independent, fundamentals-based assessment of Intel's intrinsic equity value as of 19 October 2026. By combining historical financial performance, external analyst estimates, scenario-based forecasts and sensitivity analysis, the model establishes a structured basis for evaluating Intel's market valuation and supporting informed investment decisions.

Although uncertainties remain regarding manufacturing execution, future capital requirements and long-term growth, these limitations do not invalidate the analysis. Instead, the Conservative, Base and Optimistic scenarios, together with the Reverse DCF, provide a framework for assessing potential upside, downside risk and the operating performance required to justify Intel's market price.

[13] Yahoo Finance (2026), Intel Corporation (INTC) – Historical Data, reference share price as of 19 October 2026.

[14] Intel Corporation, Q2 2026 Form 10-Q, section “Liquidity and Capital Resources”; Intel Corporation, Prospectus Supplement (10 August 2026), pp. S-2 and S-9.
[15] Intel Corporation, 2025 Form 10-K, pp. 23, 26.
[16] Finanzen.net, Intel Corporation – Analyst Estimates (FactSet Consensus), accessed 19 October 2026.

APPENDIX A | SOURCES & REFERENCES

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NVIDIA: https://finance.yahoo.com/quote/NVDA/

TSMC: https://finance.yahoo.com/quote/TSM/

GlobalFoundries: https://finance.yahoo.com/quote/GFS/

Yahoo Finance (2026), *Intel Corporation (INTC) – Stock Price, Market Capitalization and Historical Data,* Intel Corporation – Yahoo Finance, accessed 28 October 2026.